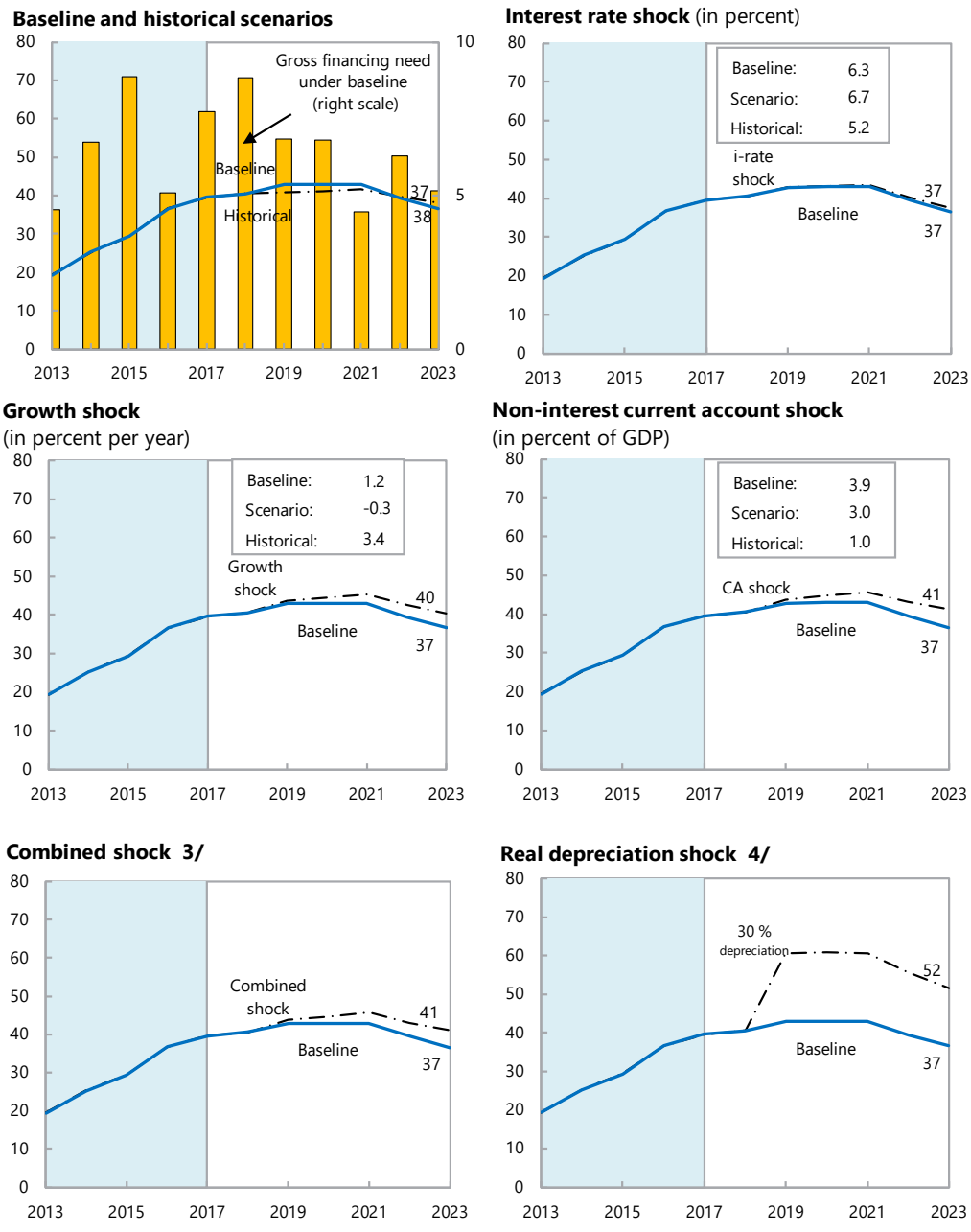
Figure 6. Ecuador: External Debt Sustainability: Bound Tests 1/ 2/

(External debt in percent of GDP)



Sources: International Monetary Fund, Country desk data, and staff estimates.
1/ Shaded areas represent actual data. Individual shocks are permanent one-half standard deviation shocks. Figures in the boxes represent average projections for the respective variables in the baseline and scenario being presented. Ten-year historical average for the variable is also shown.
2/ For historical scenarios, the historical averages are calculated over the ten-year period, and the information is used to project debt dynamics five years ahead.
3/ Permanent 1/4 standard deviation shocks applied to real interest rate, growth rate, and current account balance.
4/ One-time real depreciation of 30 percent occurs in 2018.

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Table 1. Ecuador: Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

(In percent of GDP unless otherwise indicated)

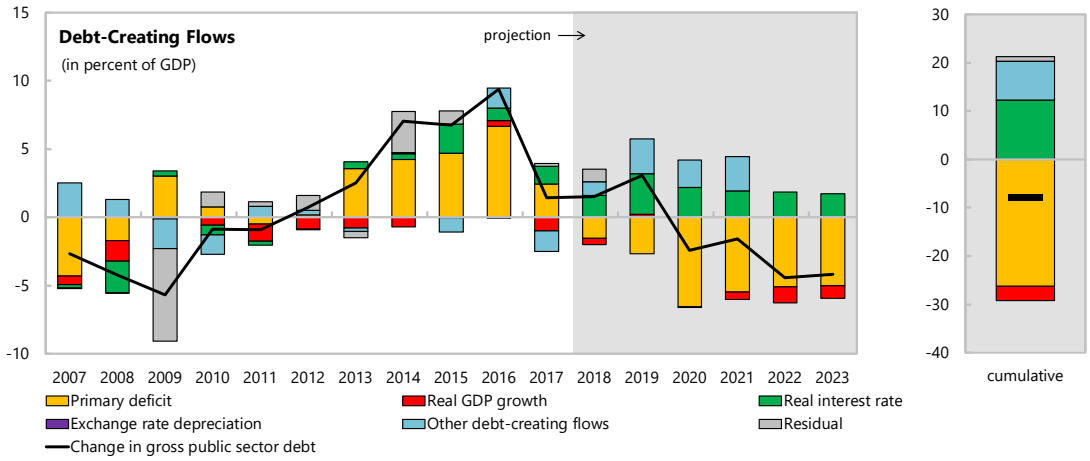
Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2007-2015 [2/]	2016	2017	2018	2019	2020	2021	2022	2023
Nominal gross public debt	22.7	43.2	44.6	46.1	49.2	46.8	45.2	40.8	36.6
Public gross financing needs	5.4	19.1	16.8	8.3	5.6	2.3	1.3	2.7	2.5
Net public debt	16.9	38.5	39.6	40.3	40.7	36.4	32.6	28.7	24.9
Real GDP growth (in percent)	3.9	-1.2	2.4	1.1	-0.5	0.2	1.2	2.7	2.3
Inflation (GDP deflator, in percent)	4.8	1.9	1.9	2.0	-0.7	1.2	1.4	1.1	0.9
Nominal GDP growth (in percent)	8.9	0.7	4.4	3.1	-1.1	1.4	2.6	3.8	3.2
Effective interest rate (in percent) [4/]	4.7	4.7	5.1	5.8	5.7	5.7	5.7	5.4	5.3

As of February 15, 2019		
Sovereign Spreads		
EMBIG (bp) 3/		726
5Y CDS (bp)		n.a
Ratings	Foreign	Local
Moody's	B3	B3
S&Ps	B-	B-
Fitch	B-	B-

Contribution to Changes in Public Debt

	Actual			Projections							
	2007-2015	2016	2017	2018	2019	2020	2021	2022	2023	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	0.3	9.4	1.5	1.5	3.1	-2.4	-1.6	-4.4	-4.2	-8.0	
Identified debt-creating flows	0.4	9.5	1.2	0.6	3.1	-2.4	-1.6	-4.4	-4.2	-8.9	
Primary deficit	1.1	6.7	2.4	-1.5	-2.7	-6.5	-5.5	-5.1	-5.0	-26.3	0.8
Primary (noninterest) revenue and grant	35.0	30.3	32.0	36.3	35.2	38.3	35.5	34.8	34.7	214.8	
Primary (noninterest) expenditure	36.1	37.0	34.5	34.7	32.6	31.8	30.0	29.7	29.7	188.4	
Automatic debt dynamics [5/]	-0.7	1.3	0.3	1.2	3.2	2.1	1.4	0.7	0.8	9.3	
Interest rate/growth differential [6/]	-0.7	1.3	0.3	1.2	3.2	2.1	1.4	0.7	0.8	9.3	
Of which: real interest rate	0.0	0.9	1.3	1.6	2.9	2.2	1.9	1.9	1.7	12.3	
Of which: real GDP growth	-0.7	0.4	-1.0	-0.5	0.2	-0.1	-0.5	-1.2	-0.9	-2.9	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	1.4	-1.5	1.0	2.6	2.0	2.5	0.0	0.0	8.0	
Fiscal, General Government, Total finan	0.0	1.4	-1.5	1.0	2.6	2.0	2.5	0.0	0.0	8.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroar	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	-0.1	-0.1	0.2	0.9	0.0	0.0	0.0	0.0	0.0	0.9	



Source: IMF staff calculations.

1/ Public sector is defined as non-financial public sector.

2/ Based on available data.

3/ Long-term bond spread over U.S. bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r))/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

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